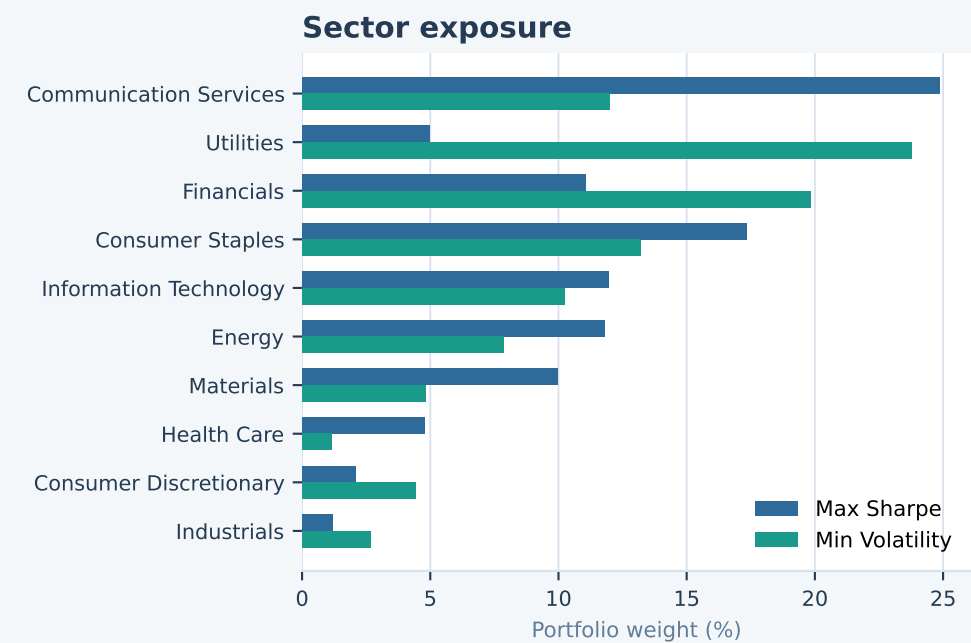
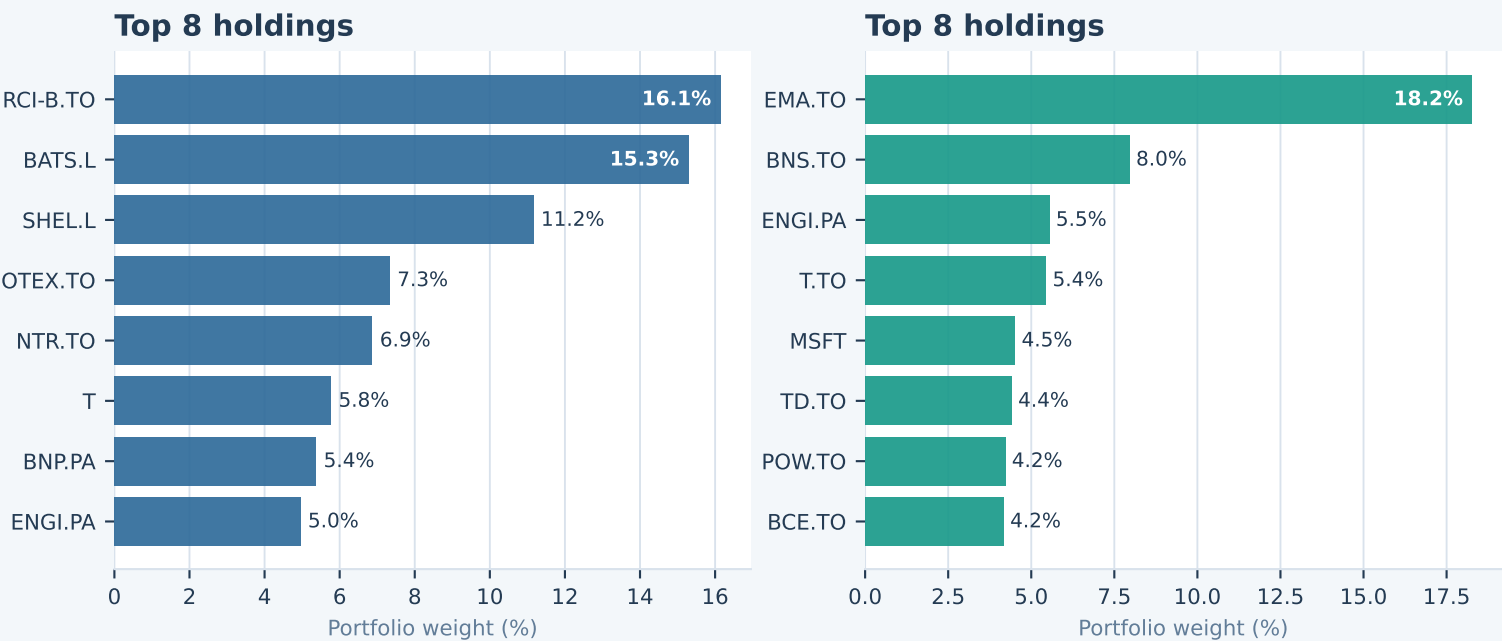
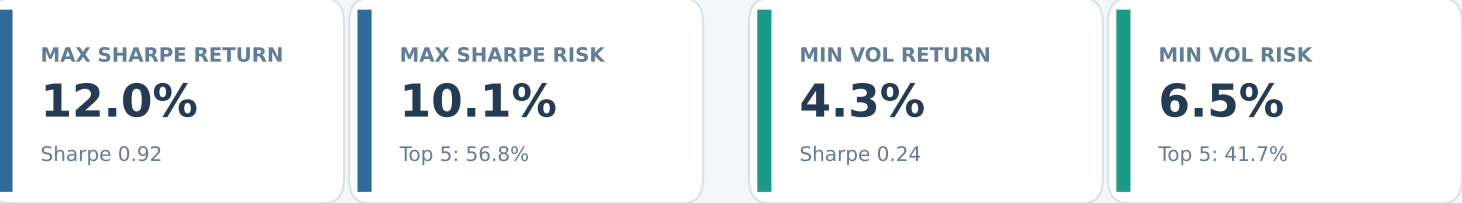


Portfolio Summary

TSX 60 allocation model | Training: 2024-12-11 to 2025-12-10



PORTFOLIO CHARACTER

Max Sharpe

Dominant sector: Communication Services (24.9%)

Min Volatility

Dominant sector: Utilities (23.8%)

Diversification

Effective holdings: 11.1 vs. 15.7

Common exposure

Weight overlap: 76.2%

Expected returns are Black-Litterman posterior estimates. Volatility and Sharpe metrics are annualized in-sample estimates. Portfolio weights are long-only and sum to 100%.

Maximum Sharpe Portfolio

Allocation breakdown, concentration, and sector structure

EXPECTED RETURN

12.0%

Annualized

VOLATILITY

10.1%

Annualized

SHARPE RATIO

0.92

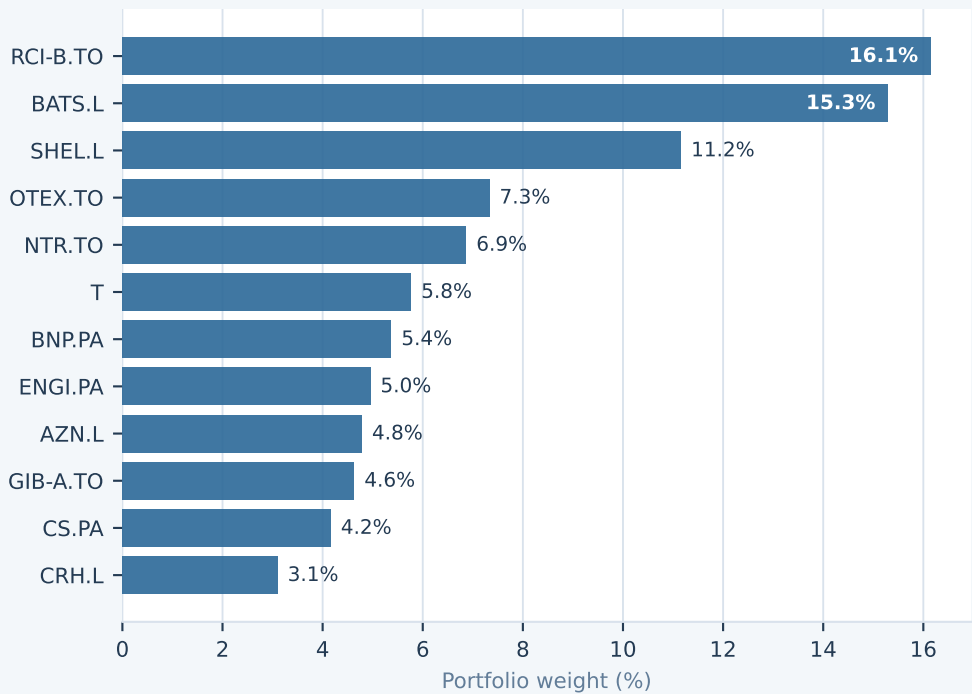
Risk-free adjusted

ACTIVE POSITIONS

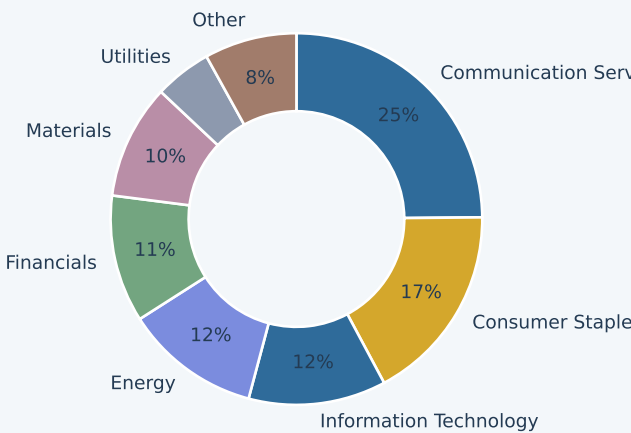
20

Effective: 11.1

Top 12 holdings



Sector mix



TOP EIGHT HOLDINGS

Ticker	Weight	Sector	Posterior	Confidence	Rank
RCI-B.TO	16.15%	Communication Services	14.0%	80%	#1
BATS.L	15.29%	Consumer Staples	11.9%	77%	#2
SHEL.L	11.16%	Energy	11.7%	80%	#3
OTEX.TO	7.33%	Information Technology	16.1%	76%	#4
NTR.TO	6.87%	Materials	12.3%	75%	#5
T	5.77%	Communication Services	10.6%	75%	#6
BNP.PA	5.37%	Financials	14.7%	64%	#7
ENGI.PA	4.96%	Utilities	7.8%	68%	#8

Maximum Sharpe: Holding Rationale

Research views for top holdings 1-4; weights also reflect covariance and portfolio constraints

#1 RCI-B.TO

16.15% weight | Communication Services | Posterior 14.0%

Rogers screens as one of the more attractive risk/reward names here, with a 4.1x P/E, 8.3x EV/EBITDA, 59.5% YoY EPS growth, and very strong \$6.76B FCF despite high leverage. The primary upside driver is multiple normalization as 5G leadership and network investments reinforce operating stability, while the primary risk is that 184% debt/equity and regulatory/content obligations keep investor skepticism elevated.

#2 BATS.L

15.29% weight | Consumer Staples | Posterior 11.9%

BATS looks inexpensive at 13.1x P/E and 11.1x EV/EBITDA with strong cash generation of \$2.99B FCF, and recent news points to improved smokeless sales growth guidance into the mid-teens. The primary upside driver is a rerating supported by cash returns and better reduced-risk product growth; the primary risk is structural cigarette volume decline and leverage at 72.8% debt/equity constraining flexibility.

#3 SHEL.L

11.16% weight | Energy | Posterior 11.7%

Shell looks attractively valued at 13.67x earnings and just 4.81x EV/EBITDA, with \$15.63B of FCF, 26.6% EPS growth, and supportive oil-price/news flow including Namibia progress. Primary upside driver is sustained commodity and upstream cash generation, while the primary risk is geopolitics and cyclical cutting both ways after recent security and conflict-related headlines.

#4 OTEX.TO

7.33% weight | Information Technology | Posterior 16.1%

OTEX screens inexpensive at 10.6x P/E and 8.0x EV/EBITDA while generating 0.84BoFFCFon5.21B of revenue, and recent upgrades plus AI-governance positioning support a recovery case. Primary upside is valuation rerating driven by earnings momentum and cash flow; primary risk is the heavy 161.8 debt/equity leverage limiting flexibility and capping upside if growth stalls.

Maximum Sharpe: Holding Rationale

Research views for top holdings 5-8; weights also reflect covariance and portfolio constraints

#5 NTR.TO

6.87% weight | Materials | Posterior 12.3%

Nutrien screens attractively at 13.6x earnings, 1.28x book, and 10.2x EV/EBITDA, with earnings having rebounded sharply and recent market commentary highlighting fertilizer exposure as a potential inflation hedge. The primary upside driver is cyclical improvement in fertilizer pricing and normalized earnings power from a low valuation base, while the primary risk is that commodity-sensitive profits remain volatile and recent price action suggests the market is still unconvinced on a sustained upcycle.

#6 T

5.77% weight | Communication Services | Posterior 10.6%

AT&T looks inexpensive at 7.63x P/E and 7.36x EV/EBITDA with robust \$8.85B FCF, and recent connected-car and AI partnership news adds modest optionality beyond core telecom. The primary upside driver is re-rating from depressed valuation as cash flow supports deleveraging and shareholder returns; the primary risk is ongoing EPS pressure (-11.3% YoY) and intense wireless competition limiting fundamental acceleration.

#7 BNP.PA

5.37% weight | Financials | Posterior 14.7%

BNP Paribas stands out as one of the cheaper large banks at 8.68x P/E and 0.78x P/B, with 9.6% ROE and 12.0% EPS growth providing a decent fundamental floor despite sparse company-specific news. The primary upside driver is valuation rerating from depressed book multiple levels, while the primary risk is that macro and European banking sentiment remain weak and keep the stock inexpensive.

#8 ENGI.PA

4.96% weight | Utilities | Posterior 7.8%

ENGIE looks modestly undervalued relative to peers on 18.2x P/E and 8.7x EV/EBITDA, and the Belgian 320 MWh battery project adds a tangible grid-flexibility growth lever despite weak recent reported earnings. The primary upside driver is stabilization in earnings and cash flows from regulated and transition assets, while the primary risk is that the sharp -59.4% EPS decline and negative FCF signal that recovery may take longer than valuation implies.

Minimum Volatility Portfolio

Allocation breakdown, concentration, and sector structure

EXPECTED RETURN

4.3%

Annualized

VOLATILITY

6.5%

Annualized

SHARPE RATIO

0.24

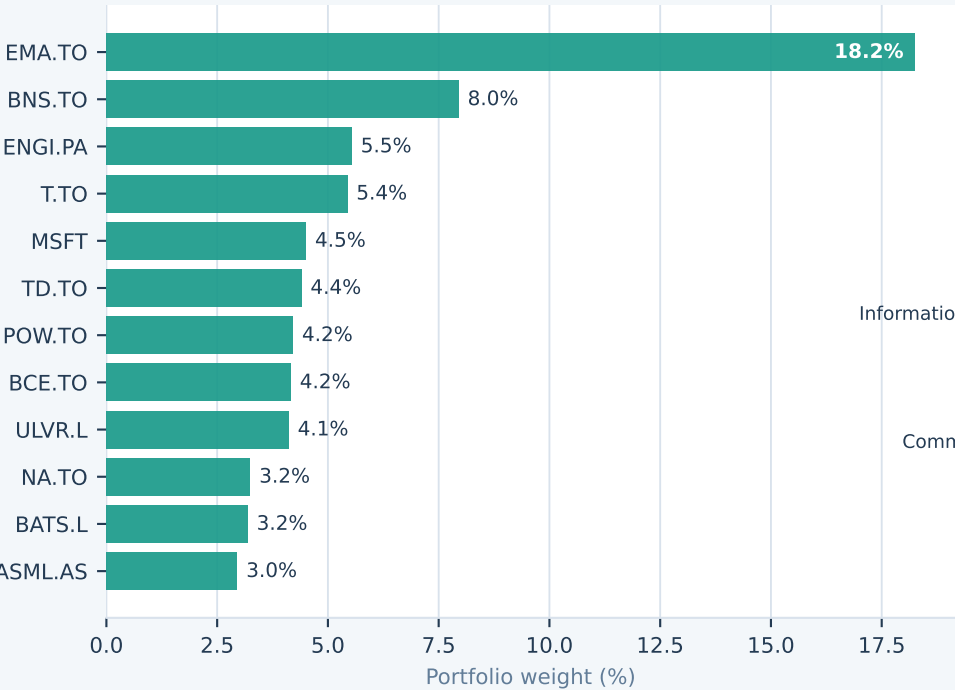
Risk-free adjusted

ACTIVE POSITIONS

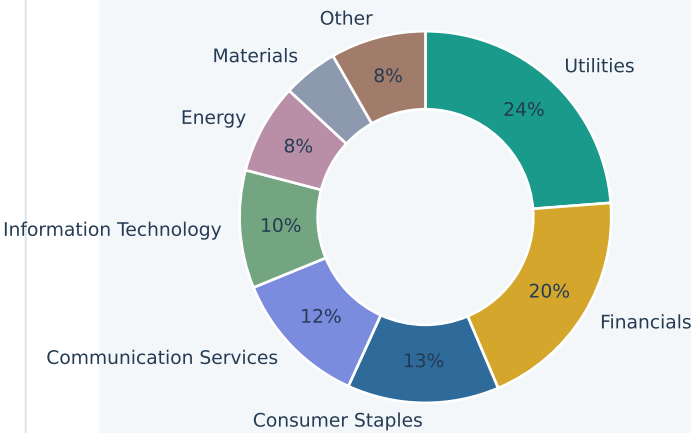
36

Effective: 15.7

Top 12 holdings



Sector mix



TOP EIGHT HOLDINGS

Ticker	Weight	Sector	Posterior	Confidence	Rank
EMA.TO	18.24%	Utilities	-0.7%	71%	#1
BNS.TO	7.95%	Financials	7.2%	73%	#2
ENGI.PA	5.54%	Utilities	7.8%	68%	#3
T.TO	5.44%	Communication Services	-0.2%	66%	#4
MSFT	4.51%	Information Technology	2.8%	78%	#5
TD.TO	4.40%	Financials	7.7%	69%	#6
POW.TO	4.21%	Financials	6.0%	72%	#7
BCE.TO	4.16%	Communication Services	-1.1%	74%	#8

Minimum Volatility: Holding Rationale

Research views for top holdings 1-4; weights also reflect covariance and portfolio constraints

#1 EMA.TO

18.24% weight | Utilities | Posterior -0.7%

Emera offers defensiveness but upside appears limited after a strong run: 22.4x earnings is full for a utility with 7.7% ROE, negative 5.6% EPS growth, high leverage at 168.7% debt/equity, and negative FCF of \$2.06B. The primary upside driver is continued earnings support from regulated investments and recent Q1 adjusted EPS growth, while the primary risk is that valuation and financing needs cap returns after the stock's 24% 1-year gain.

#2 BNS.TO

7.95% weight | Financials | Posterior 7.2%

Scotiabank trades at a moderate 15.79x P/E and 1.61x P/B, and recent reporting showed growth in net interest income to C5,521M and net income to C2,595M, indicating improving earnings traction. The primary upside driver is continued earnings normalization and dividend support, while the primary risk is that international exposure and a risk-off macro backdrop pressure credit quality and investor sentiment.

#3 ENGI.PA

5.54% weight | Utilities | Posterior 7.8%

ENGIE looks modestly undervalued relative to peers on 18.2x P/E and 8.7x EV/EBITDA, and the Belgian 320 MWh battery project adds a tangible grid-flexibility growth lever despite weak recent reported earnings. The primary upside driver is stabilization in earnings and cash flows from regulated and transition assets, while the primary risk is that the sharp -59.4% EPS decline and negative FCF signal that recovery may take longer than valuation implies.

#4 T.TO

5.44% weight | Communication Services | Posterior -0.2%

TELUS has some support from stable FCF generation (\$2.37B) and digital/AI service initiatives, but fundamentals remain weak with EPS down 58.5% YoY, low 3.7% ROE, and heavy leverage at 190.14% debt/equity. The primary upside driver is recovery from a weak prior year if operating trends stabilize; the primary risk is that stretched earnings quality and leverage keep the valuation from rerating despite a softer share-price base.

Minimum Volatility: Holding Rationale

Research views for top holdings 5-8; weights also reflect covariance and portfolio constraints

#5 MSFT

4.51% weight | Information Technology | Posterior 2.8%

Microsoft remains fundamentally strong with 23.4% EPS growth, 34.0% ROE, and enormous free cash flow of \$37.01B, while valuation at 23.0x earnings and 16.3x EV/EBITDA is elevated but not extreme for its quality. The primary upside driver is durable cloud/AI monetization backed by scale and balance-sheet strength; the primary risk is that mega-cap sentiment and heavy AI spending cap near-term multiple expansion.

#6 TD.TO

4.40% weight | Financials | Posterior 7.7%

TD benefits from a strong franchise, 11.9% ROE, and supportive analyst target revisions, while digital engagement strength could help defend retail banking economics. The primary upside driver is normalization from depressed EPS growth (-61.2% YoY) if earnings and capital deployment improve; the primary risk is that a still-full 18.89x P/E limits upside unless profit recovery becomes clearer.

#7 POW.TO

4.21% weight | Financials | Posterior 6.0%

POW.TO has supportive operating momentum, with 21.0% YoY EPS growth and Q1 commentary highlighting higher adjusted earnings, rising NAV, and a larger cash balance supporting buybacks. The primary upside driver is continued strength at Great-West Lifeco/IGM and Wealthsimple growth, while the primary risk is that a 20.3x P/E and deeply negative FCF make upside more dependent on sustained execution than rerating.

#8 BCE.TO

4.16% weight | Communication Services | Posterior -1.1%

BCE appears statistically cheap at 5.1x P/E and 8.9x EV/EBITDA with meaningful FCF, but EPS is declining (-2.9% YoY) and debt/equity is high at 181.6%, indicating the low multiple reflects real balance-sheet and growth concerns. The primary upside driver is value/income support plus any payoff from fiber, AI infrastructure and managed services investments; the primary risk is that leverage and weak earnings trends continue to outweigh the apparent valuation discount.

Detailed Allocation Appendix

Positions above 0.01%; values may not sum to exactly 100% because of display rounding

MAX SHARPE

Ticker	Sector	Weight
RCI-B.TO	Communication Services	16.15%
BATS.L	Consumer Staples	15.29%
SHEL.L	Energy	11.16%
OTEX.TO	Information Technology	7.33%
NTR.TO	Materials	6.87%
T	Communication Services	5.77%
BNP.PA	Financials	5.37%
ENGI.PA	Utilities	4.96%
AZN.L	Health Care	4.79%
GIB-A.TO	Information Technology	4.63%
CS.PA	Financials	4.16%
CRH.L	Materials	3.10%
NFLX	Communication Services	2.94%
BKNG	Consumer Discretionary	2.08%
IMB.L	Consumer Staples	2.03%
DSY.PA	Industrials	1.18%
BNS.TO	Financials	0.67%
CVE.TO	Energy	0.65%
USB	Financials	0.62%
WFC	Financials	0.24%

MIN VOLATILITY

Ticker	Sector	Weight
EMA.TO	Utilities	18.24%
BNS.TO	Financials	7.95%
ENGI.PA	Utilities	5.54%
T.TO	Communication Services	5.44%
MSFT	Information Technology	4.51%
TD.TO	Financials	4.40%
POW.TO	Financials	4.21%
BCE.TO	Communication Services	4.16%
ULVR.L	Consumer Staples	4.12%
NA.TO	Financials	3.25%
BATS.L	Consumer Staples	3.19%
ASML.AS	Information Technology	2.96%
TRP.TO	Energy	2.80%
IMB.L	Consumer Staples	2.79%
MRU.TO	Consumer Discretionary	2.55%
RIO.L	Materials	2.44%
GIB-A.TO	Information Technology	2.20%
XOM	Energy	2.08%
TTWO	Communication Services	1.74%
SHEL.L	Energy	1.48%
DGE.L	Consumer Staples	1.48%
KO	Consumer Staples	1.47%
NTR.TO	Materials	1.33%
SU.TO	Energy	1.33%
DSY.PA	Industrials	1.26%
CRH.L	Materials	1.04%
ROST	Consumer Discretionary	0.99%
UNH	Health Care	0.97%
HO.PA	Industrials	0.92%
MC.PA	Consumer Discretionary	0.90%
GOOG	Communication Services	0.66%
FTNT	Information Technology	0.59%
UPS	Industrials	0.51%
JNJ	Health Care	0.18%
NESN.SW	Consumer Staples	0.16%
PPL.TO	Energy	0.16%